

FINAL ACCOUNTS OF A SOLE PROPRIETORSHIP

Final accounts of a sole trader refer to the financial statements prepared at the end of an accounting period to summarize the financial performance and position of the business. These accounts serve as a crucial tool for assessing the profitability and financial health of the sole proprietorship. The final accounts typically consist of three main components: the trading account, the profit and loss account (income statement), and the balance sheet.

Trading Account

The trading account is the first part of the final accounts and is designed to determine the gross profit or loss of the business. It starts with the opening stock (value of goods at the beginning of the accounting period) and adds purchases during the period. Direct expenses like carriage inwards and direct wages are added to the purchases to arrive at the total cost of goods available for sale. The closing stock (value of goods at the end of the accounting period) is subtracted from the total cost, resulting in the gross profit or loss.

Profit and Loss Account (Income Statement)

The profit and loss account follows the trading account and focuses on indirect expenses and revenues to ascertain the net profit or loss. It starts with the gross profit or loss from the trading account and adds other operating revenues, such as sales of assets or interest earned. Indirect expenses like rent, salaries, and utilities are deducted from the total, resulting in the net profit or loss for the period.

Balance Sheet

The balance sheet is the final component of the final accounts and provides a snapshot of the business's financial position at a specific point in time.

It consists of two main sections: assets and liabilities. Assets include current assets (e.g., cash, accounts receivable, inventory) and fixed assets (e.g., property, equipment). Liabilities encompass current liabilities (e.g., accounts payable, short-term loans) and long-term liabilities (e.g., long-term loans).

The balance sheet follows the accounting equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$. The owner's equity represents the proprietor's interest in the business, calculated as the opening capital plus net profit (or minus net loss) from the profit and loss account.

Dr.		Format of trading profit and loss account		Cr	
	₦	₦		₦	
Opening stock		xx	Sales	xx	
Add: Purchases	xx		Less: Return Inwards	<u>xx</u>	
Carriage inward	xx				
Less: Return Outward	<u>xx</u>	<u>xx</u>			
COGAFS		xx			
Closing Stock		<u>xx</u>			
Cost of goods sold		xx			
Gross Profit c/d		<u>xx</u>		<u>xx</u>	
		<u>xx</u>		<u>xx</u>	
Expenses:			Gains & Incomes:		
wages and salaries		xx	gross profit b/d	xx	
Discount allowed		xx	Discount received	xx	
telephone		xx	Rent received	xx	
bad debts		xx	Commission received	xx	
Motor expenses		xx			
Stationaries		xx			
Bank charges		xx			
advertising		xx			
lightening and heating		xx			
Repairs		xx			
rent		xx			
General expenses		xx			
depreciation		<u>xx</u>		<u>xx</u>	
		<u>xx</u>		<u>xx</u>	

Illustration:

The following trial balance was gotten from the books of COCOA INDUSTRIES LIMITED.

	Dr (₦)	Cr (₦)
Capital		22,636
Opening stock	2,368	
Closing stock	3,000	
Carriage inwards	200	
Carriage ourwards	310	
Return inwards	205	
Return outwards		322
Sales		18,600
Purchases	11,874	
Salaries and wages	3,862	
Rent	304	
Insurance	78	
Sundry expenses	664	
Advertising	216	
General expenses	480	
Land and building	5,000	
Furniture and fittings	1,800	
Motor car	350	
Debtors	3,896	
Bank	10,482	
Creditors		1,731
Drawings	1,200	
Total	43,289	43,289

You are required to:

1. Prepare the trading, profit and loss account for the year ended 31/12/2020
2. Prepare the balance sheet as at 31/12/2020

CONTROL ACCOUNT

When a trial balance does not agree, this is an indication that errors(s) have been made in the accounting entries. In a small business entity, tracing the errors(s) is relatively easy because of the relatively few numbers of transactions. However, in a large business where there is a large number of transactions, the accounting books and ledgers are many and sub-divided. Therefore, tracing the errors might be difficult and time consuming. This problem can be simplified by having a system that makes it possible to localize the errors to specific ledgers so that such ledgers will be thoroughly checked to locate and correct the errors. This need is met by having a control account for each ledger that shall act as a check on the accuracy of the entries in that ledger. A ledger has a control account is sometimes referred to as a *self-balancing ledger*. And as such the self-balancing ledger that is been used is usually referred to as the control account.

A control account is an account which contains the summary or total of entries in the individual accounts in each ledger. In other words, a control account is a replica in summarized form of accounts in the ledger to which it relates. It therefore follows that the balance on this account, *ceteris paribus*, will be equal to the total of all individual balances in the ledger. Where this is not so, it is an indication of error in the ledger.

Advantages of Control Accounts

- i. **Error Detection and Prevention:** Control accounts help identify discrepancies between the general ledger and subsidiary ledgers, making it easier to detect and prevent errors or fraud.
- ii. **Efficient Reconciliation:** They simplify the reconciliation process by allowing quick comparison between control account balances and the totals in the subsidiary ledgers.
- iii. **Time-Saving:** Control accounts save time by summarizing detailed transactions into one account, reducing the need to analyze individual entries when preparing financial statements.
- iv. **Improved Internal Control:** By segregating duties between maintaining control accounts and subsidiary ledgers, organizations can enhance internal control and reduce the risk of manipulation.
- v. **Enhanced Accuracy:** The use of control accounts reduces the likelihood of posting errors in the general ledger since only summary totals are entered.
- vi. **Facilitates Management Reporting:** Managers can quickly access summarized financial data through control accounts, aiding in faster and more informed decision-making.
- vii. **Organized Record-Keeping:** Control accounts help maintain a more organized accounting system by keeping the general ledger free from excessive detail.
- viii. **Supports Auditing Process:** Control accounts make audits more straightforward by providing a clear trail from summarized data in the general ledger to detailed transactions in subsidiary ledgers.

TYPES OF CONTROL ACCOUNTS

SALES LEDGER CONTROL ACCOUNT (DEBTORS CONTROL ACCOUNT)

The sales ledger control account is used to summarize all credit transactions made with customers. It records the total amount of money owed to the business by its customers at any given time. This account includes all credit sales, payments received from customers, sales returns, discounts allowed, and any bad debts written off. Instead of listing each customer's transaction individually in the general ledger, all individual customer records are maintained in the sales ledger, while the total is reflected in the sales ledger control account. This helps ensure accuracy and simplifies the reconciliation process.

PURCHASES LEDGER CONTROL ACCOUNT (CREDITORS CONTROL ACCOUNT)

The purchases ledger control account summarizes all credit transactions made with suppliers. It shows the total amount the business owes to its suppliers for goods and services purchased on credit. This account records credit purchases, payments made to suppliers, purchase returns, and any discounts received. Like the sales ledger control account, the purchases ledger control account reflects the summary total in the general ledger, while detailed records of individual suppliers are maintained in the purchases ledger. This aids in effective monitoring and control of payables and supports efficient financial reporting.

FORMATS OF CONTROL ACCOUNTS

Dr.	Receivables control account/Sales ledger control account		Cr.
Balance b/d	x	Balance b/d	x
Credit sales	x	Discount allowed	x
Dishonored cheques	x	Bad debts	x
Interest charged to customers	x	Bills Receivable	x
Bills receivables dishonored	x	Cheques received from customers	x
Transfer of credit balance to Payables Control Account	x	Cash received from customers	x
Transfer of debit balances from payables control account	x	Return inwards	x
Bal c/d	x	Purchase ledger contra (set-off)	x
		Bal c/d	x

Dr. Payables control account/Purchase ledger control account Cr.

Balance b/d	x	Balance b/d	x
Discount received	x	Credit purchases	x
Bills payable	x	Dishonored cheques	x
Cheques paid to suppliers	x	Interest charged by suppliers	x
Cash paid to suppliers	x	Bills payable dishonored	x
Return outwards	x	Transfer of credit balances from	x
		receivables control account	
Sales ledger contra (set-off	x	Transfer of debit balances to	x
		receivables control account	
Bal c/d	x	Bal c/d	x

Illustration 1:

Ochuko, a sole trader, keeps his books so that a sales ledger control account and a purchase ledger control account are shown in his general ledger and balanced at the end of each Month. From the following details, show how these two control accounts will appear in the general ledger for the month of December 2022.

		₦
At Dec. 2022:	Dr. Balances in the sales ledger	13,500
	Dr. Balances in the purchase ledger	415
	Cr. Balances in the sales ledger	300
	Cr. Balances in the purchase ledger	12,000
For the month of December, 2022:	Total credit purchases	17,500
	Total credit sales	20,000
	Sales returns and allowances	360
	Purchase returns and allowances	200
	Cash received from trade receivables	7,500
	Cheques received from trade receivables	15,000
	Discounts received from payables	120
	Payments made to trade payables	16,400
	Discounts allowed to trade receivables	360
	Bad debts written off	50
	Provision for doubtful debts	200
	Bills of exchange accepted by trade receivables of Ochuko	4,300
	Bills of exchange accepted by Ochuko	6,600
	Sales ledger credit balances transferred to purchase ledger	80
	Cash purchases	3,000
	Dishonored bills payables	130
	Dishonored bills receivables	150
	Cr. Balance in the sales ledger	195
	Dr. balances in the purchase ledger	180

MANUFACTURING ACCOUNT

A business entity that is engaged in the manufacturing of goods for sale will prepare a **Manufacturing Account** in addition to the statement of profit and Loss. The aim of preparing the Manufacturing Account is to ascertain the cost of goods produced during the year. It is prepared in a manner to show the components of the cost of goods produced as analyzed below:

	₹
Direct materials (i.e. cost of raw materials consumed)	x
Direct labor (i.e. direct wages or manufacturing wages)	x
Direct expenses (i.e. royalty payable, hire of machines etc.)	<u>x</u>
Prime cost	x
Factory/Production overhead expenses	<u>x</u>
Cost of Goods produced	<u>x</u>

Costs of raw materials: Raw materials are items used in the production of other goods. The cost of raw materials consumed will include the cost of raw materials purchased as well as the cost of carriage inwards on raw materials – by addressing the former and deducting the latter-before obtaining the cost of raw materials consumed.

Direct labour: is the cost of wages paid to workers who are directly involved in the manufacturing process. These are typically individuals whose efforts can be directly traced to the production of specific products, such as machine operators and assembly line workers. This cost is a major component of the prime cost, as it directly contributes to the creation of finished goods.

Direct expenses: refer to all other costs that are directly associated with the production of goods but are not classified as raw materials or labour. These can include the cost of hiring special machinery for a specific job, royalties payable on production output, or special tools and designs used in the manufacturing process. Like raw materials and direct labour, direct expenses are included in calculating the prime cost.

The term **prime cost:** represents the total of all direct production costs. It is calculated by summing the cost of raw materials consumed, direct labour, and direct expenses. Prime cost forms the initial subtotal in the manufacturing account and reflects the core cost of producing goods before any indirect or overhead costs are added.

Production and factory overhead expenses: are indirect costs that are necessary for running the manufacturing operations but cannot be directly traced to specific units of output. These expenses include items such as factory rent, depreciation of machinery, factory maintenance, supervisors' salaries, and utility bills for the factory. These costs are added to the prime cost to arrive at the total cost of production.

Work in progress (WIP): refers to partially completed goods that are still undergoing production at the end or beginning of an accounting period. In a manufacturing account, the opening WIP is added and the closing WIP is subtracted from the total production cost to ensure that only the costs associated with goods fully completed during the period are accounted for.

Finished goods: are products that have completed the manufacturing process and are ready for sale. The total cost of these finished goods, after adjusting for work in progress, is transferred from the manufacturing account to the trading account. The closing stock of finished goods is then recorded in the trading account and appears in the balance sheet as part of current assets.

FORMAT FOR MANUFACTURING ACCOUNT AND STATEMENT OF PROFIT AND LOSS AND OTHER COMPREHENSIVE INCOME

	₦	₦
Opening inventory of raw materials		x
Purchase of raw materials		x
Less: Purchase return of raw materials		(x)
Carried inward on raw materials		<u>x</u>
Cost of raw materials available for use		x
Less: Closing inventory of raw materials		<u>(x)</u>
Cost of raw materials used		x
Direct wages (i.e. Manufacturing wages)		x
Direct expenses (e.g. royalty)		x
Prime Cost		x
Add: <u>Factory Overheads</u>		
Depreciation of plant and machinery	x	
Factory light and power	x	
Foreman's salaries	x	
Factory rent	x	
Factory insurance	x	
General factory expenses	x	
Other factory overheads	<u>x</u>	<u>x</u>
Opening Work-In-Progress	x	
Closing Work-In-Progress	<u>(x)</u>	<u>x</u>
Cost of goods produced		x
Add: Manufacturing profits (Mark-up), if any		<u>x</u>
Market value of goods produced		<u>x</u>
Sales		x

Less:	Sales Return		<u>X</u>
			X
Less:	<u>Cost of goods sold:</u>		
	Opening Inventory of finished goods	X	
	Goods produced	X	
	Purchases of finished goods, if any	X	
	Purchases returned	(X)	
	Carriage on finished goods	<u>X</u>	
	Goods available for sale	X	
	Closing inventory of finished goods	(<u>X</u>)	
	Cost of goods sold		(<u>X</u>)
	Gross profit (on trading)		XX
Add/less	Increase/Decrease in provision for unrealized profit on inventory, if any		<u>X</u>
			X
Add:	Manufacturing profit, if any		<u>X</u>
	Total gross Profit		X
Add:	<u>Other Income</u>		
	Discount received	X	
	Rent received	X	
	Interest received	X	
	Commission received	<u>X</u>	<u>X</u>
			XX
Less:	<u>Administrative expenses</u>		
	Admin. Salaries	X	
	Office electricity	X	
	Office rent and rates	X	
	Printing and Stationary	X	
	Admin. Insurance	X	
	Depreciation of office equipment	X	
	Other Admin. Expenses	<u>X</u>	(<u>X</u>)
			XX
Less:	<u>Selling and Distribution Expenses</u>		
	Salesmen's salaries and commission	X	
	Bad debt	X	
	Increase (Decrease) in provision for bad debt	X	
	Advertising	X	
	Discount allowed	X	
	Carriage outwards	X	

Depreciation of delivery van	<u>x</u>	<u>(x)</u>
Net profit for the year		xx
<u>Other comprehensive income</u>		
Gain on revaluation of asset		<u>x</u>
Total comprehensive income for the year		<u>x</u>

ILLUSTRATION

The following balances were extracted from the books of Diana Enterprises a manufacturer of leather materials in Mubi at 30th September, 2024.

	₦
Raw materials purchased	38,720
Manufacturing wages	18,870
Factory sundry expenses	10,120

Inventory @ 1/10/2024:

Raw materials	8,460
Work-in-progress	3,070
Finished goods	12,380

Sales	135,000
Depreciation: Plant and Machinery	7,560
Delivery vans	3,040
Office equipment	807
Repair of plant and machinery	3,020
Factory Power	3,100
Foreman's salary	2,530
Advertising	3,556
Discount Allowed	1,524
office expenses	2,910
Rent and rates	8,400
Salesmen's salaries	6,420
Carriage inwards on raw materials	2,720
Other direct factory expenses	2,100
Office salaries	5,170

Additional Information:

Rent and rates should be apportioned as follows:

Factory	50%
Administration	30%
Selling and Distribution	20%

Closing inventory at 30th September, 2024 were:

Raw materials	₦10,985
Work-in-progress	₦2,460
Finished goods	₦14,570

You are required to draw up the Manufacturing, Trading, Profit and Loss account of Diana Enterprise for the year ended 30th September, 2024.